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IN THE CIRCUIT COURT OF THE
SECOND JUDICIAL CIRCUIT, IN
AND FOR LEON COUNTY, FLORIDA
GRAND JURY, FALL TERM 1992

IN RE: GRAND JURY INVESTIGATION OF THE FLORIDA DEPARTMENT OF HEALTH AND AND REHABILITATIVE SERVICES, MANAGEMENT SYSTEMS, THE FLORIDA ON-LINE RECIPIENT INTEGRATED DATA ACCESS (FLORIDA) SYSTEM, AND OTHER PROJECTS AND MATTERS

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DAVE LAMB
CLERK CIRCUIT COURT
LEON COUNTY, FLORIDA

IN THE NAME OF AND BY THE AUTHORITY OF THE STATE OF FLORIDA:

PRESENTMENT

THIS MATTER came before this Grand Jury after a request for consideration by the State Attorney's Office pursuant to our authority to conduct investigations of public institutions and personnel, including practices or procedures regarding public offices, public officials and public monies. The request was to look into practices, procedures, expenditure of money, conduct of public officials and public employees regarding The Florida Department of Health and Rehabilitative Services (HRS), Management Systems, the Florida On-Line Recipient Integrated Data Access (FLORIDA) System, and other projects and matters. Also, this review involved any possible criminal misconduct by public officials and employees and others. Our review of this matter included sworn testimony of material witnesses, review of various forms of evidence presented and field trips to The Florida Department of Health and Rehabilitative Services (HRS), Management Systems and to a meeting of the Information Technology Resource Procurement Advisory Council.

During the course of our investigation we heard sworn testimony from the following material witnesses, some of whom testified more than once:

1. Karin Morris, HRS Management Systems
2. Donna Dye, HRS Management Systems
3. Mark Spencer, Formerly of HRS Management Systems
4. Don Hellums, HRS Management Systems
5. Ernie Joe Duggar, HRS Management Systems
6. John Lyons, Formerly of International Business Machines Corporation
7. Gerald Lourcey, HRS Management Systems
8. Tom Edwards, Unisys Corporation
9. Mike Hale, Information Resource Commission
10. Dozier Johnson, Department of Management Services
11. Mark Rodenberry, Auditor General's office
12. Gary Clarke, Assistant Secretary for Medicaid
13. Linda Coleman, HRS, Medicaid
14. Thomas W. Arnold, Former Assistant Secretary, HRS
15. Don Winstead, Former Deputy Secretary, HRS
16. Tom Herndon Chief of Staff, Governor's Office
17. David Coburn, Director of the Office of Planning and Budget, Governor's Office
18. Robert Brochin, Chief Inspector General
19. Lieutenant Governor Kenneth "Buddy" McKay
20. Dr. Jim Zingale, Department of Revenue
21. Dan McCall, Comptroller's Office
22. Gary Mendelson, State Attorney's Office
23. Cheleene Schembera, Former District Administrator, HRS
24. Thomas G. Clemmons, Deputy Comptroller
25. Pinky Hall, HRS Inspector General's Office
26. April Herrle, HRS Public Relations
27. Pam Witzleben, HRS
28. Martha Crabb, HRS
29. Karen Girard, HRS
30. Robert Williams, Former Secretary of HRS
31. Viann Hardy, Former Deputy Secretary of HRS Management Systems
32. Governor Lawton Chiles, Governor of Florida

FACTS

We find evidence of the following factual sequence based upon the sworn testimony of material witnesses and evidence presented:

1. Prior to 1987, The Florida Department of Health and Rehabilitative Services (HRS) had mainly Burroughs computers and

mainframes. Burroughs later became Unisys. The Data Center was located in Jacksonville, Florida.

2. During 1986, The Florida Department of Health and Rehabilitative Services (HRS) had three systems shut down by the Federal Government. The systems were FAMIS (Welfare and Food Stamps), Child Support and Medicaid. The State had been unsuccessful in obtaining maximum federal funding. Everything was unacceptable with the Federal Government. The State needed an automated system that would cut down the error rate.

3. When Governor Bob Martinez was elected, Mr. Greg Coler was eventually appointed Secretary of The Florida Department of Health and Rehabilitative Services (HRS).

4. Mr. John Lyons, who was employed by International Business Machines Corporation (IBM) beginning in January, 1987, established contact with Secretary Greg Coler. Secretary Coler asked Mr. Lyons to check out the Department's Data Center in Jacksonville. Upon completion of his review, Mr. Lyons drafted an Executive Presentation on how IBM could improve the statewide computer system of the Department (HRS). His plan would improve the statewide telecommunications network of the Department. The plan called for a hook up (PC MUCKS) wherein IBM computers could communicate with Unisys computers. This would be a step in the direction of establishing an IBM environment within the Department (HRS).

5. Under the leadership of Secretary Coler new managers appeared in 1987 and they had an IBM orientation. Among these

new managers was Ms. Viann Hardy who would later become Deputy Secretary in charge of Management Systems at the Department (HRS).

6. Mr. Tom Johnson, who would later move up the ranks to Assistant Deputy Secretary under Deputy Secretary Viann Hardy, was hired by HRS with the help of IBM. IBM definitely influenced and supported the hiring of Mr. Johnson. During his employment Mr. Johnson made it clear to the Department's (HRS) employees that all he wanted was IBM hardware.

7. A decision was made to roll the three aforementioned unsuccessful projects together and the new project would be called the Florida On-Line Recipient Integrated Data Access System (The Florida System). This occurred in 1987 and 1988. This system would be divided into two distinct parts: (1) Public Assistance (PA) which consists of AFDC, Food Stamps, Medicaid and Refugee Assistance Programs and (2) Child Support Enforcement (CSE).

8. The Department of Health and Rehabilitative Services (HRS) procured the services of a consultant (MAXIMUS) to prepare a Request for Proposal (RFP) and applicable planning documents.

9. During the months of April and May of 1988, approval of the RFP was received from the State Information Technology Resource Procurement Advisory Council (ITRPAC), the United States Department of Agriculture's (USDA) Food and Nutrition Service (FNS) and the United States Department of Health and Human Services (DHHS).

10. The Florida On-Line Recipient Integrated Data Access System was to (a) improve services to clients in the form of accurate eligibility determinations and timely payments, (b) improve operational efficiency which would reduce program errors and achieve savings, and (c) reduce paperwork and eliminate redundant and unnecessary tasks thus reducing cost.

11. The Request for Proposal (RFP) for the Florida On-Line Recipient Integrated Data Access System (Florida System) was officially advertised and issued to prospective vendors on May 20, 1988. The Department (HRS) received proposals from CSX Technology, Electronic Data Systems Federal Corporation (EDS) and Unisys Corporation. There was a twenty-six (26) month schedule in the RFP to bring the Florida System on-line.

12. Unisys Corporation filed a protest stating that the twenty-six (26) month schedule was unrealistic, the RFP was vague and the RFP did not allow the use of existing equipment. This protest was filed within three days after the RFP was released. Also there was a claim made that the twenty-six (26) months was based on politics and was designed to unfold while Bob Martinez was Governor. A hearing officer ruled against Unisys except for the proposed time period. The hearing extended the time period to twenty-nine (29) months. The RFP was modified to comply with the hearing officer's ruling. During these twenty-nine (29) months the State of Florida would receive enhanced funding for the project.

13. An Evaluation Team and a Selection Team were set up by

the Department (HRS) to assist in the selection of a vendor for the Florida On-Line Recipient Integrated Data Access System (The Florida System).

14. The Evaluation Team was to review and evaluate the different sections of the proposal. Individuals were assigned different areas to review. Each member was instructed not to discuss their evaluation with anyone except when instructed to do so by the coordinator. The findings of the Evaluation Team go to the Selection Team who makes the recommendation to the Secretary of the Department (HRS).

15. Ms. Martha Crabb, a member of the Evaluation Team, was contacted by then Assistant Secretary Don Winstead. Assistant Secretary Winstead stated, in essence, that EDS was the best system and if she thought EDS was the best, then she should score the way she felt. Ms. Crabb was concerned about this contact and felt that it was unethical. Mr. Winstead held a high position within the Department (HRS) and was also a member of the Selection Team.

16. Ms. Karen Girard, a member of the Evaluation Team, was contacted by other members of the Evaluation Team, Mr. Tom Johnson and Ms. Lou Gettis, in a parking lot, and was advised by them that EDS was the best vendor. Based on what Mr. Johnson and Ms. Gettis told her she changed her vote from CSX to EDS. She felt that what Mr. Johnson and Ms. Gettis did was unethical and violated the rules and procedures of the evaluation process. Mr. Johnson and Ms. Gettis had positions of authority within the

Department (HRS).

17. The Evaluation Team recommended EDS to the Selection Team who in turn made the recommendation to Secretary Coler that EDS get the contract for the Florida System. This was in November of 1988.

18. Unisys Corporation filed another protest in December of 1988. Unisys complained that EDS misrepresented their solution, that two evaluators, Tom Johnson and Lou Gettis were biased toward EDS and IBM, that the Ohio System (model used by EDS) was not really operational in that it was still in testing, and that EDS misrepresented what they could do regarding the Distributive System.

19. The hearing officer ruled that Mr. Tom Johnson and Ms. Lou Gettis had irregularities in their scores. This protest was resolved in favor of EDS and it was recommended that EDS be awarded the contract for the Florida System. This was in March of 1989.

20. In May of 1989 the contract was signed by all parties awarding EDS the contract. EDS was the prime contractor and the sub-contractors were IBM, Deloitte and Touche, IV-D Systems, Inc., MIS Software Development, Inc. (MSD) and the Florida State University. This contract called for a Distributive System.

21. The Florida On-Line Recipient Integrated Data Access System (The Florida System) became a unique project in many ways. Departmental policies and procedures were set aside, private attorneys were hired so the Department's legal staff was bypassed

and everything was put on a "Fast Track". All checks and balances were ignored.

22. The Department (HRS) and EDS had contractual problems as the project progressed. There were a number of amendments and changes.

23. The way the Florida System contract was being handled concerned Ms. Donna Dye and she made her complaints known to Judy Mitchell, the Project Manager, who had made comments that she did not care about the rules and procedures. Information was being withheld from the Federal Government. Donna felt that Judy Mitchell and Viann Hardy were covering up. Donna, who was the Financial Manager of the Florida Project, had not seen a contract handled the way the Florida System contract was handled. In fact she refused to sign a form that certain State personnel involved in purchasing have to sign because she knew that the Project Managers were not adhering to the State Purchasing Rules and Regulations.

24. Ms. Judy Mitchell was the Project Manager for the Florida System and evidence presented revealed that she was not competent to handle the job and that she did not closely monitor the project. However, she did know what the major problems were.

25. MAXIMUS Corporation was hired to assist in overseeing the Florida System Project and was paid approximately 1.8 million dollars. Many times EDS and the Department did not fully inform them of what was occurring. However, when MAXIMUS made recommendations not to accept certain deliverables and tasks,

Viann Hardy and Judy Mitchell deliberately ignored their recommendations.

26. It was Judy Mitchell, the Project Manager, and Lou Gettis, the Assistant Project Manager, that chose to keep the Federal Government uninformed.

27. Testimony reflects EDS was not required to produce accurate progress reports even though reports were required as outlined in the RFP. The Time-Line Reports reflected that the project was progressing according to schedule when in fact it was not.

28. The Project schedule for the Florida System involved about eighteen (18) TASKS. There were anywhere from three (3) or more deliverables per TASK. A TASK should not be determined as complete and therefore paid for unless all deliverables were completed. The status of TASKS in the original RFP was either approved or disapproved.

29. In TASK 1 two new categories of approval were added, conditional approval and pended approval. This was an unusual move. It amounted to allowing EDS to get paid for things that were not complete. This was the beginning of deceptive practices involving the Florida System Project. This made it impossible to determine how the Project was progressing.

30. TASK 4, the "Blueprint" of the System, which outlined the Detailed System Design was not completed. Without this Detailed System Design the Project would be operating ineffectively with no direction. EDS was paid $1,139,171.56 for this TASK.

31. TASK 8 required that EDS provide a copy of a lease between EDS and Mark Development Corporation regarding their headquarters. Also EDS was to provide a narrative for the central site set up and lay out how the computer site would be set up. The Department (HRS) had already secured the Northwood Center and had already set up their computers and prepared the site for the computers. So the Department (HRS), in essence, paid over 1 million dollars for something they already had and for a copy of a lease.

32. There were TASKS paid for that were not completed. Many deliverables within tasks were not completed. The Comptroller of the State of Florida received payment approvals signed by Ms. Judy Mitchell as Project Manager for TASKS that were not complete and she approved as though they had been Completed. This amounted to false statements being made to the Comptroller's Office.

33. Federal Agencies involved with the Florida System Project received reports signed by Viann Hardy that contained statements that certain TASKS and/or Deliverables were final when they were not. These were false statements to Federal Agencies that required the reports so that they could monitor the Project to determine whether enhanced funding should continue.

34. Required reports concerning the progress of the Florida System Project were submitted to the Information Resource Center (IRC), the Senate Appropriations Committee, the House Appropriations Committee and the Governor's Office of Budget and

Planning by Secretary Robert Williams and Deputy Secretary Don Winstead. These reports contained false statements regarding TASKS and Deliverables within TASKS that were listed as final when, in fact, they were not.

35. Early on in the progression of the Florida System Project TASKS and Deliverables began to be overlapped into other TASKS and Deliverables. This resulted in cutting into the time frame and efficiency of the work being done on other TASKS. There were severe slippages in the Project, things were falling further behind.

36. Around October 1989, EDS stated that there would be problems with a Distributive System and proposed going to a Centralized System to handle the "Statewide Clearance" problem. Also, this would be a way to complete the Project's schedule within the twenty-nine (29) month period.

37. Secretary Greg Coler had problems with the decision to go to a Centralized System. He did not think there was a computer large enough to handle a project of the size of the Florida System. EDS stated that they would find a computer that would do the job. Secretary Coler signed off on going to the Centralized System without rebidding the RFP. The Information Technology Resource Procurement Advisory Council (ITRPAC) and the Information Resource Commission (IRC) approved the switch from the Distributive to Centralized System without checking into whether or not it was technologically sound to do so on a system as large as the Florida System.

38. EDS saved a lot of money by getting the Department to go to a Centralized System because their model, the Ohio System, was a Centralized System, so there would be no major modifications.

39. The Federal Government had reached the conclusion that the Centralized System (one large computer) was not the way to go because it would be expensive and response times were not good. No one paid attention to this study.

40. The Steering Committee was formed to oversee the Project. Ms. Viann Hardy, Mr. Robert Williams, Mr. Don Winstead, Ms. Lucy Hadi, Mr. Tom Johnson, Ms. Judy Mitchell, and Ms. Lou Gettis served on, or participated in the Steering Committee and received Committee Reports. The Department's (HRS) technicians, directors, supervisors, and employees brought up various problems regarding the Project. Reports were provided by MAXIMUS to the Steering Committee about problems, and they advised them not to pay for certain TASKS or not to approve certain TASKS and Deliverables. Anyone who served on the Steering Committee or who participated in its meetings or received Committee Reports knew or should have known about the many problems of the Project. The Steering Committee received reports of the Project slippages.

41. Mr. Joe Duggar, who holds a supervisory position at the Department's (HRS) Management Systems, attended Steering Committee meetings and talked about capacity problems and response times and his concerns were disregarded by Mr. Tom Johnson, Ms. Judy Mitchell and Ms. Lou Gettis.

42. The minutes of the May 7, 1990, Florida Steering Committee meeting contained a report on the "Ohio Trip". The Ohio System was discussed. This system is the model that EDS was using to build the Florida System. The report given was called "THE OHIO WARNING". The warning was don't go beyond acceptance testing and Pilot. This warning was not followed.

43. When Robert Williams became Acting Secretary of the Department (HRS) in January, 1991, a number of TASKS had slipped on the Florida System. The Project was hopelessly behind and headed toward being one of the biggest disasters in the State. People began advocating to slow the Project down.

44. During March and April of 1991, EDS had begun to warn the Department (HRS) to slow down because acceptance testing wasn't done and to proceed would involve substantial risks. EDS wanted the time to be extended on the Project. EDS stated that the Florida System was not ready for statewide implementation and that there would be no trouble getting an extension from the Federal Government. These warnings and comments were set forth in letters to Secretary Williams. Ms. Viann Hardy responded to EDS by stating that they had no authority to stop work and if they did the Department (HRS), in essence, would sue them.

45. At the June 24, 1991, Steering Committee meeting, Tom Arnold addressed the Committee. Present were Secretary Williams, Mr. Don Winstead, Ms. Viann Hardy, Ms. Judy Mitchell and Ms. Lucy Hadi. Tom Arnold spoke of problems in the Pilot Office and felt that they should not leave Pilot. There was talk of multiple IDs

causing duplication of benefits and duplicate checks. They also talked about problems with the Medicaid Interface. Arnold told the Committee that the Project was not ready to go to the Districts. Ms. Viann Hardy argued against Arnold and gave an optimistic approach that swayed Secretary Williams. The minutes reflect "That after careful deliberation Secretary Williams announced his decision to cut over in Pilot effective July 1, 1991". The system was expanded and the problems that were experienced in the Pilot Office were now being experienced throughout the District. The problems involved missing functionalities, poor training, capacity, application and hardware.

46. The Department (HRS) could have slowed down the Project at this time. All Districts still had the old system in operation and they could have worked as they did in the past. This would have allowed EDS six (6) months or so to fix the Florida System. When Florida System went forward the Department took down the old system.

47. In August of 1991, Mr. Tom Johnson wrote a letter to IBM asking for a cost estimate for providing facilities management for the Florida System effective July 1, 1992. This quote was to include operations and systems technical personnel. This letter gave IBM advance notice of a procurement which would be the subject of a competitive bid. The letter violated every purchasing guideline.

48. The Department (HRS) became concerned that EDS was

going to slow down the Project. A SWAT TEAM was formed to take the Florida System from EDS. Mr. Tom Johnson announced the plan to a select group. Viann Hardy was aware of this plan. The appointed group was going to storm the computer room, break the security codes and disconnect the machine by using an axe if they had to. Mr. Joe Duggar advised his staff not to participate in this action because it appeared to him to be illegal. The plan was never carried out.

49. The Department (HRS) and EDS signed a document called the Memorandum of Understanding on or about October 18, 1991. EDS agreed that IBM would upgrade the 300J Computer with a 720 Computer and the Department (HRS) would purchase an IBM 600J from EDS. The price of this upgrade was over 11 million dollars and EDS would pay 65% and the Department (HRS) would pay 35%. Also all performance requirements that EDS was responsible for were waived. This Memorandum released EDS from further obligation.

50. With the 720/600 purchase IBM sold the Department (HRS) an IRLM hookup so the machines could communicate with each other. This solution was approved by the IRC and ITRPAC. The IRLM was a bad solution in that 40% or more of the machine's time was used by the machines communicating with each other. No one on the IRC or ITRPAC questioned the IRLM hookup. Mr. Joe Duggar and his staff recommended operating with one machine, the 720, and increasing its memory. This recommendation was turned down.

51. Mr. Mark Spencer, who was hired as a Systems Programming Administrator on the Florida Project, was very vocal

about various problems he observed regarding the Florida System. He attended meetings and pointed out problems to Lou Gettis, Judy Mitchell, Viann Hardy and Tom Johnson. He was told to shut up! At weekly Friday meetings, he along with other technicians, unanimously stated that the System should not be "rolled out". The Project's management knew there were serious problems.

52. On Monday, June 1, 1992, the Department (HRS) took over the Florida System from EDS. Just prior to this takeover, the Department (HRS) had authorized the promotion of an applications program. EDS did what was authorized. An EDS technician told Mr Joe Duggar that the program was destined to fail and could corrupt the data base and bring the system down. Mr. Duggar told Ms. Judy Mitchell, Ms. Lou Gettis and Mr. Tom Johnson and they didn't believe it would happen. The problem did occur and progressed. Mr. Duggar and Mr. Mark Spencer warned other supervisors about the problem. As they were discussing the problem the entire system crashed. This was on Tuesday, June 2, 1992, "Black Tuesday". Mr. Tom Johnson cleared the computer room and waited for IBM technicians to arrive who later got the computer up.

53. The Department (HRS) contracted with IBM to do a "Snapshot" (capacity and analysis of the System) on the 720/600 IRLM Computers in an effort to justify the purchase of a larger computer, the 900. Actually, the Department (HRS) had determined that the IRLM hook up was no good and put all the programs on the 720. It should be noted that Mr. Tom Johnson had taken some

memory from another federally funded program, WIC/PI, and placed it on the 720 Computer after it was detached from the 600, thus giving the 720 more memory. The "Snapshot" was quickly done and the machines were not tuned. This capacity test was really not a valid one, it was just used as a marketing tool. IBM recommended an 860 Computer but Secretary Williams ordered the 900. Secretary Williams had written a letter to the Governor explaining, in an Executive Summary, the necessity of the "Snapshot".

54. Around mid August, 1992, the IBM 900 Computer was installed without approval of ITRPAC. The 900 machine ran for several months. Ms. Lucy Hadi, who had taken over Viann Hardy's position, wrote a letter to IBM contracting to purchase the IBM 900 Computer. Ms. Hadi wanted to do an emergency acquisition but found out that the Department (HRS) was short of funds. Then it was decided by Ms. Hadi to prepare an ITRPAC Package to submit so that IBM could be paid by December 31, 1992. This package was submitted.

55. Secretary Williams was subpoenaed to the State Attorney's Office. When he returned from the State Attorney's Office the following happened: (1) Mr. Tom Johnson and Ms. Judy Mitchell left the employment of the Department (HRS), (2) the 900 ITRPAC Package was pulled, (3) the FLITES ITRPAC Package was pulled, (4) Ms. Karin Morris was unjustly and without cause banished to a cluttered room in another Department (HRS) facility, and given no work responsibilities. Ms. Morris considered this to be an act of retaliation by Ms. Hadi.

(5) more money in the way of sole sources was expended for a "Snapshot" review and capacity analysis.

56. After Mr. Mike Hale was subpoenaed by the State Attorney's Office the IRC and ITRPAC began to look closely at the purchase of the 900 Computer by the Department (HRS). Mr. Hale submitted a letter to Ms. Lucy Hadi with twelve issues that needed to be answered. Ms. Hadi responded but never directly answered the questions.

57. State Attorney William Meggs visited the Comptroller's Office and advised the Comptroller's Office what the investigation by his office had revealed and encouraged the Comptroller to look closely at the 900 Computer acquisition. The Comptroller, Mr. Gerald Lewis, wrote a letter to Mr. Meggs, dated December 28, 1992, and advised that his staff had reviewed the matter and could find no reason not to approve the request to finance the 900 Computer upgrade.

58. The Department (HRS), on December 29, 1992, finally won approval for the purchase of the 900 Computer that was installed by IBM in mid August of 1992. Two members of ITRPAC, Mr. Mike Hale and Mr. Dozier Johnson, admitted that this was an "After the Fact Approval" and violated the law, Chapter 287 of the Florida Statutes. This approval was without the ESCON DASD package that was originally approved. IBM got about 9.1 million dollars but refused the check because the ESCON DASD had been removed from the package thus reducing the original contract price. By way of a settlement agreement another ITRPAC Package

was approved paying IBM $600,000 for services rendered rental of the ESCON DASD, and software maintenance.

59. According to Ms. Donna Dye the original cost projection for the Florida System was $94,874,000. By June 30, 1993, Ms. Dye projected that the cost could be $166,000,000. Ms. Lucy Hadi had reported lower figures to the Legislature that were not accurate. Ms. Hadi verbally chastised Ms. Dye for providing the aforementioned figures to the State Attorney's Office. As of today, figures have probably far exceeded the $166,000,000 projection.

Testimony and evidence revealed other projects and matters that pertain to the operation of the Florida Department of Health and Rehabilitative Services (HRS) Management Systems and they will be discussed in the following paragraphs.

60. Project Independence was a project that was designed to get people off of welfare by providing services they needed to gain employment. There was training, child care, health care, etc. In 1989 only Unisys Computers were being used on this project. IBM volunteered to give the Project a 9370 Computer on loan and agreed to provide a contractor to write a code and train the Department's (HRS) staff. ITRPAC approved this loan by IBM but warned the Department (HRS) not to allow IBM to gain an advantage if later on there was a bid. This was some of the first equipment provided by IBM to the Department (HRS). The code language developed was a proprietary product which ran on IBM equipment, thus IBM gained an advantage. Mr. Tom Johnson

made the decisions on this matter. Ms. Viann Hardy, Ms. Judy Mitchell and Ms. Lou Gettis were knowledgeable about what was going on in Project Independence. IBM became involved with the Department (HRS) prior to the kickoff of the Florida System.

61. The Office of Disability Determination dealt with a federally funded program to assist disabled individuals who had to go on Social Security. In September of 1989, this Office received 100% federal funding and a bid was put out. IBM, WANG and Unisys bid on this Project. WANG had the most points on the evaluation and the lowest price and would have won had the Department (HRS) followed normal procedures. Ms. Viann Hardy was responsible for taking the Project away from WANG, and through an emergency award, gave the Project to IBM. Ms. Hardy felt that there was a flaw in the RFP and that the evaluation was not conducted properly. Ms. Hardy felt that the Evaluation Team did not give consideration to the financial status of the companies involved with the bid. It was thought by Ms. Hardy that WANG was on the verge of bankruptcy. IBM's price was higher than WANG's. This matter went to an Administrative Hearing and the hearing officer ruled in WANG's favor. The hearing officer ruled that the Department's (HRS) actions were arbitrary and subverted the purpose of competitive bidding. Also the hearing officer ruled that the officials of the Department (HRS) showed favoritism towards IBM. During the hearing process it was established that Ms. Marilyn VanDusseldorp, one of the Department's (HRS) supervisory personnel, received a FAX communication from IBM

pointing out flaws in WANG's equipment and that WANG's financial status was bad. Ms. VanDusseldorp was not supposed to have contact with bidders. WANG was awarded the contract by the hearing officer. In his Recommended Order, the hearing officer stated that Ms. Viann Hardy and Secretary Greg Coler contrived the emergency. Secretary Coler decided to award the contract to WANG, but WANG had to reject the findings of the hearing officer.

62. The Department (HRS) had another project known as WIC which stands for Women, Infants and Children and was designed to help pregnant women. EDS was the contractor on this project. The Project had some deficiencies and the Department (HRS) wanted to cancel the contract and bring everything in house. The WIC Program hired a consultant who studied the problems and recommended a distributive system. Mr. Tom Johnson did not want a distributive system, he preferred a large mainframe. Also Mr. Johnson knew that a distributive system would have to be competitive bid. Mr. Johnson located a 3081 IBM mainframe at the Department of Transportation that was listed as surplus property and purchased it for $1,000. Mr. Tom Johnson wanted to go to a centralized system that would operate on the 3081.

63. The 9370 Computer that was set up to run the Project Independence Program could not handle the project because of capacity problems.

64. The purchase of the IBM 3081 was Mr. Johnson's solution to run both the WIC Project and Project Independence (PI). This led to a number of sole source purchases to IBM in the year 1989,

to develop the systems configuration for WIC and Project Independence (PI). Mr. Tom Johnson got a number of individuals to write up sole sources trying to keep the price under the ITRPAC $500,000 threshold, thus subverting the process. These sole sources were to IBM for DASD Storage, etc. and eventually totaled about 2 million dollars. This procedure blatantly and flagrantly violated the State's procurement procedures.

65. As time progressed the WIC/PI System was upgraded to an IBM 340. An IBM proprietary product SNA was also added. Again, Mr. Tom Johnson wanted to go sole source and Ms. Viann Hardy approved it. IBM stood to make a lot of money because of the software and maintenance license that was attached. SNA is the architecture that IBM uses to communicate with their terminals. SNA comes with the IBM machine purchased. Mr. Johnson became increasingly more aggressive with IBM purchases and sole sources and presented a network consolidation package, FLITES, to ITRPAC and the Cabinet around December of 1991. The FLITES plan was to consolidate all the Department's (HRS) networks so that one terminal would take you everywhere instead of having to go through many pieces of equipment. The SNA network would be used. Equipment would be purchased in three phases over a period of five years. After five years the system would pay for itself. The cost was around 11.5 million dollars. About $900,000 worth of taxpayer's money was utilized to purchase FLITES equipment in December of 1991. <u>As of August 1993, this equipment is still being stored in the HRS warehouse.</u>.

66. Between February and May of 1991, the MID-RANGE

STRATEGY was going through an evaluation process. This involved a standard that would be set for mini-computers for the Mental Health System. Whoever won this contract would make between 40-70 million dollars. Ms. Marilyn VanDusseldorp was the Executive Sponsor. The evaluation process took about six weeks. Mr. Joe Duggar was one of the evaluators. Ms. Karin Morris was involved in monitoring the evaluation process. Ms. VanDusseldorp as Executive Sponsor attended all meetings. A Request For Information (RFI) was put out and three major vendors, IBM, D.E.C. and Unisys, participated. The entire process was closely monitored and no evaluator was allowed to discuss anything except in a controlled debriefing session. The evaluators were not to try to sway each other. At the final meeting Mr. Tom Johnson made an appearance, which was highly unusual for a supervisor who had not participated in the sessions, and told everyone present that they were all Select Exempt employees and stated, "You know who I want to win". Everyone knew that Tom Johnson was 100% in favor of IBM. There was also a heated argument about IBM with Mr. Joseph Speccia. Ms. VanDusseldorp was present when all this occurred. D.E.C. led on scoring after the debriefing and before Mr. Johnson made his appearance. After Mr. Johnson's appearance IBM gained a large number of points because the evaluators changed their scores. Mr. Joe Duggar felt that he would lose his job if he didn't change his scores in favor of IBM. D.E.C. did win by one point. Marilyn VanDusseldorp changed the rules and treated the MID-RANGE process as a Request For Proposal (RFP).

Ms. VanDusseldorp called the three vendors and asked for prices, and then she structured a cost sheet using questionable methodology which assured that IBM would win. They (IBM) submitted with the lowest price and won the contract. Ms. VanDusseldorp manipulated the prices. The IBM Risk 6000 Computer was selected as the mini-computer standard. This resulted in a number of sole sources to IBM.

67. In December of 1991, the Department (HRS) needed to replace old tape drives on the Unisys Computers that were worn out. Mr. Joe Duggar drafted a bid for what is known as TAPE CARTRIDGE, which is much like a video tape that is easily stored. Mr. Tom Johnson favored a company known as STORAGE TEK because he did not want Unisys to win. Unisys did win the bid and STORAGE TEK filed a protest. Mr. Tom Johnson throughout the process fed information to STORAGE TEK. Also during the protest Mr. Tom Johnson was going to testify as an expert witness against the Department (HRS).

68. In 1992, it was determined that the WIC/PI Computer Model 340 needed an upgrade to an IBM ES 9000 Model 500. Mr. Tom Johnson got Ms. Lou Gettis to write an ITRPAC package for this upgrade. Mr. John Agliato, the WIC Program Administrator became furious with the proposed ITRPAC package because he wanted to purchase used equipment and CAMBEX DASD. Mr. Agliato submitted his request in the form of a suggestion letter. Upon receipt of this suggestion letter, Ms. Viann Hardy and Ms. Marilyn VanDusseldorp directed Mr. Joe Duggar and Ms. Karin Morris to

search for a used upgrade. The specifications for this upgrade were developed by Mr. Tom Johnson and were written in such a manner that eliminated all bidders except IBM. Ms. Morris and Mr. Duggar advised Ms. VanDusseldorp that Mr. Johnson was rejecting hardware which exceeds IBM's proposal for less money. Ms. Morris and Mr. Duggar found used hardware and were told by Ms. VanDusseldorp and Mr. Johnson that it was unacceptable. Marilyn VanDusseldorp signed a memo to Mr. Agliato containing statements prepared by Mr. Tom Johnson that she knew were false. These statements contained allegations that CAMBEX DASD, which had been purchased by other customers, did not perform well. CAMBEX wrote to Ms. Viann Hardy requesting an opportunity to refute the inaccurate statements in Ms. VanDusseldorp's memo, but was told the purchase had been completed. Mr. Agliato wrote to those mentioned in Ms. Vandusseldorp's memo as stated that CAMBEX had a bad performance record and he was told that CAMBEX was doing great, thus exposing the falsehoods contained in Ms. VanDusseldorp's memo.

Further testimony and evidence revealed the following facts about certain special areas that need mentioning and will be discussed in the following paragraphs.

69. Mr. Gerald Lourcey, a Systems Project Administrator for the Department's (HRS) Management Systems, had responsibility for the Food Stamp Information System. He was involved with the conversion of data from the Old System to the New Florida System. When he was involved in the conversion process of the Florida

System it was behind in the developmental phase and was poorly designed. Data became garbage data once it was put in the Florida System. It was almost unusable. Under the Old System if a case worker did not recertify a client on their due date, the client was automatically cut off by the Old System, and the case worker had to call the client in for a status update. As the Florida System conversion process continued and also training began, the Department's (HRS) staff did not have time to recertify Food Stamp clients. The Department of Economic Services of HRS wanted Mr. Lourcey's staff to automatically recertify Food Stamp clients without the case workers conducting interview updates. Mr. Lourcey refused because it was not legal according to the Federal and State guidelines that he was aware of and he demanded that the request to automatically recertify be placed in writing. A Memorandum authorizing automatic recertification was sent to Mr. Lourcey and he complied with the request to automatically recertify Food Stamp recipients (about 200,000). Assistant Secretary for Economic Services Tom Arnold and Deputy Secretary Don Winstead approved the automatic recertification of Food Stamp recipients. This automatic recertification cost the State of Florida millions of dollars because a large number of individuals that were recertified did not qualify for Food Stamps. Also due to a very high error rate the State of Florida had to pay millions of dollars to the Federal Government in fines as a penalty. Also, Mr. Lourcey mentioned the Transition Issuance Files (TIF) that were created

for the data removed off the Old System. The Food Stamp recipients of the TIF kept receiving benefits. If a person on the TIF was moved into the Florida System and not taken off the TIF they could receive duplicate benefits. Thousands did, costing the State of Florida additional millions of dollars. Mr. Lourcey warned Ms. Judy Mitchell and Ms. Lou Gettis that the Florida System was going down the wrong road and was going to cause the issuance of benefits to people who were not eligible. No one was interested in hearing what he said.

70. Mr. Gary Clarke, Assistant Secretary for Medicaid, discussed the problems in the Medicaid area. He had discovered these were caused due to the interface between the Florida System Computer and the Medicaid Computer. The Florida System Computer was not sending accurate information and many times no information to the Medicaid Computer. The Florida Computer was closing Medicaid cases out and not communicating that information to the Medicaid Computer, which continued to issue Medicaid cards to individuals who were not eligible, thus causing dramatic increases in the Medicaid eligibility numbers. In June of 1992, Mr. Clarke reported this problem to Secretary Robert Williams who gave the memo from Mr. Clarke to Deputy Secretary Don Winstead. Mr. Winstead sent a memo back to Secretary Williams stating, "Just what we need another Florida mystery." Deputy Secretary Winstead referred Mr. Charke's memo to Assistant Secretary for Economic Services Tom Arnold for his review and response. Mr.

Arnold turned the matter over to Ms. Donna Geller a Director in the Economic Services Department. Ms. Geller reviewed the problem and prepared a memo for Mr. Arnold's signature that reflected the findings of her review. There were a number of findings that were not material. However, the memo did discuss the interface between the Florida Computer and the Medicaid Computer as a possible problem. The matter was referred to a work group which resulted in no action. This was around September of 1992.

71. Ms. Linda Coleman started working for the Medicaid Department and noticed a number of complaints coming in from the field regarding the fact that workers were closing Medicaid cases but for some reason the Florida System Computer was not transmitting the information to the Medicaid Computer. She did a series of memos and charts outlining the problems and sent them through the chain of command within the Department (HRS) and other interested parties. She also met with the work group and disclosed the problems. Convincing people became a real problem; the Florida System people and Management Systems did not want to listen and blamed the problem on the Medicaid Computer. Also the work group said the Florida System problems were the number one concern and did not give consideration to the Medicaid problem. There was going to be a "one time fix" of the data base. This was done in late December, 1992, or early January, 1993, but it did not solve the problems. In January of 1993, Ms. Coleman went to the Department of Economic Services, HRS and obtained an adhoc

report of all eligible individuals on the Florida System and compared the figures on the Medicaid Computer. There was a difference of 160,000 more on the Medicaid Computer as eligible for Medicaid than on the Florida System. This meant that 160,000 cases were closed on the Florida System but open on the Medicaid Computer. After this there was a meeting with the Secretary and Deputy Secretary and more samples were ordered. Around mid-January a sample of one hundred cases showed that 33% of the people were not eligible for Medicaid. Then shortly thereafter a sample of four hundred cases was reviewed and 17% were found not to be eligible for Medicaid benefits. All this was completed around January 28, 1993, and the Secretary was advised. In February, 1993, a reconciliation was done, and it was determined that 235,000 people were declared to be eligible for Medicaid benefits who were not eligible. This information could have saved the State of Florida about $173,000,000. All of this information should have been conveyed to the Governor and the Legislature. This information was presented to Paul Belcher of the Governor's Office and Mr. David Coburn the Director of Planning and Budget for the Governor's Office on or about February 22, 1993.

72. Mr. David Coburn stated that around the beginning of February, 1993, one of his staff members, Mr. Paul Belcher, told him there was a problem with the issuance of Medicaid cards but really didn't know how bad it was. He told Mr. Belcher to let him know something when he got more information. Around the 15th of February, 1993, Mr. Belcher told him that the Department (HRS)

had compiled some figures and reported them. The next time Mr. Coburn got more information and figures regarding the Medicaid problem was February 22, 1993, when Secretary Williams came in to talk with him and said there was somewhere between 70-80 million dollars that could be saved by the State of Florida. He told Secretary Williams to go back and prepare for an Estimating Conference because he was not going to take anything to the Legislature unless he could defend the figures. The information Mr. Coburn received at the beginning of February, the middle of February and February 22, 1993, was not relayed to the Governor or the Legislature. All this was taking place around the time the Legislature was getting prepared to discuss and vote on taxes and when the Governor's Tax Package was getting ready to be presented. Mr. Coburn did tell the Governor's Chief of Staff, Tom Herndon, about what Mr. Belcher said at the beginning of February. Mr. Coburn reported nothing more during February.

73. Tuesday, March 2, 1993, Mr. Coburn received the Medicaid figures. On Friday, March 5, 1993, he took the figures to the House and Senate Staff Directors and an Estimating Conference was called. Case load figures were done on March 8, 1993, and the actual dollar figures were done March 10, 1993. On the evening of the 10th of March, the Speaker of the House was given the figures. On March 11, 1993, the Governor was advised of the figures.

74. Chief Inspector General Robert Brochin was asked by the Governor to investigate the Medicaid problem, its impact on the

State budget and a possible cover-up in the Governor's Office of certain information that was material to the Governor and the Legislature. Mr. Brochin asked the HRS Inspector General's Office to assist in the investigation, gather documents and interview the Department's (HRS) employees. Mr. Brochin would interview the Governor's staff. When the HRS Inspector General's Office completed their assignment, Mr. Brochin requested the written chronology HRS prepared, the hard disk it was on and their notes. Mr. Brochin used the material and to write an investigative report. It was noted that Mr. Brochin altered the chronology written by the HRS Inspector General's Office. Mr. Brochin deleted the comments Mr. Coburn told Secretary Williams. These comments were deleted: (1) "I don't want this, it has to go back, because it is the end of the Governor's Tax Strategy", and (2) "hold the information until the end of March". Ms. Pinky Hall, Deputy Inspector General of HRS, interviewed Secretary Williams and her notes reflect that the above comments were direct quotes to Secretary Williams.

75. Chief Inspector General Brochin did conclude that both Secretary Robert Williams and Mr. David Coburn neglected their duties owed to the Governor, the Legislature and the State of Florida.

76. The Governor's Chief of Staff, Mr. Tom Herndon, had very little recollection of what he was told by Mr. David Coburn. Mr. Herndon and Mr. Coburn stated they did not write down anything about the Medicaid problems. According to Mr. Herndon,

there are no records to show or trace what actually transpired in the Governor's Office regarding the Medicaid problem. Yet, Mr. Herndon did state that you had to be "Deaf, Dumb and Blind" to think that what was discovered in the Medicaid situation did not mess up the Governor's Tax Program.

77. Mr. Herndon did mention that there were Estimating Conferences in October/November of 1992, and in January of 1993. During these conferences everyone knew that the Medicaid case load was climbing significantly, faster than AFDC and Food Stamps. Mr. David Coburn mentioned the Estimating Conferences in January and February of 1993. There it was noticed that Medicaid figures were up and AFDC was on the decline. Represented at these Estimating Conferences were staff from the Governor's Office, the Legislature and the Department (HRS). So everyone should have been on notice.

78. Lieutenant Governor Buddy McKay was visiting the Speaker of the House and was told in an angry tone that the Speaker had received figures regarding the Medicaid situation. This was the evening of March 10, 1993. He stated he was caught by surprise.

79. It is the responsibility of the Information Technology Resource Procurement Advisory Council (ITRPAC) to guarantee the integrity of projects like the Florida System. It is their duty to insure that large computer systems are technologically sound, that there is enough money in the State agencies budget to cover the project undertaken and that the purchasing requirements and laws are followed.

80. Two members of ITRPAC were questioned, Mr. Mike Hale of the Information Resource Commission, who is responsible for reviewing the technological aspect and Mr. Dozier Johnson of the Department of Management Services who is responsible for overseeing compliance with the purchasing laws.

81. Mr. Dozier Johnson admitted that his position on ITRPAC was basically a part-time job. He has other day to day responsibilities. Because of the volume of purchases and the lack of ITRPAC staff, they took at face value what an agency told them. If an agency is caught in a lie there is no penalty. Vendors lobby him all the time pointing out how their product is the best and the other vendor's product is not as good. The Florida System gave preference to IBM. When the Florida System changed from a Distributive System to a Centralized System it was a significant major departure from the requirements in the original RFP. This should have been rebid. The Department (HRS) without getting prior approval of ITRPAC and without declaring an emergency, installed the IBM 900 Computer. In November of 1992, the Department petitioned ITRPAC and later was given an After The Fact Approval in violation of Chapter 287 of the Florida Statutes.

82. Mr Mike Hale stated that the function of ITRPAC was regulatory. He wrote Viann Hardy at the beginning of the Florida System expressing his concern of the project time frame. The Department (HRS) had earned the confidence of ITRPAC, therefore, ITRPAC did not scrutinize them closely until problems began to

surface. A sole source is a limited action allowing the purchase of equipment when no other vendor manufactures the equipment. He can not remember any IBM sole source requested by the Department that was turned down by ITRPAC. A member of his staff, Ms. Carol Pettyjohn was hired to monitor the Florida System for the IRC and inform him of any issues of concern that came up. Ms. Pettyjohn never advised him of any deliverables being approved that were not completed. She never advised him that certain TASKS were paid for and were not completed. Ms. Pettyjohn never advised him of all the problems that were brought up at meetings and how the technicians and some contractors wanted to slow the project down. Ms. Pettyjohn developed a passion to make the Florida System work, she was losing her objectivity. She seemed to be wedded to the Department (HRS). Mr. Hale warned Ms. Pettyjohn not to get close to Viann Hardy. Ms. Pettyjohn is currently employed by Management Systems starting her employment in an OPS status with a salary of approximately $70,000 representing a 106% increase over the $34,000 salary while employed with the IRC. Viann Hardy kept telling ITRPAC that the Florida System Project had to keep moving on because federal funds could be lost. Mr. Hale was involved in the approval of the Memorandum Of Understanding which included the 720/600 IRLM link up. His staff did not do any research on the IRLM hook up. He found out later that it was not a good hook up. Also, he was not aware that the Memorandum Of Understanding released EDS from its performance obligations. He mentioned attending a meeting where Donna Geller aired all the problems she was experiencing with the Florida System.

83. Lieutenant Governor Buddy McKay stated that he thought a major mistake in the Florida System was made when HRS decided to change from a Distributive to a Centralized System; it should have been rebid. The main problem at the Department (HRS) was the Computer System. He found out that HRS had a terrible "corporate culture". There was a history of intimidation of employees and retaliation against employees who came forward with criticism. The Lieutenant Governor gave Ms. Karin Morris as an example of this act of retaliation. There are so many different camps within the Department (HRS) that it is very hard to figure out what the facts and problems are, it was hard to rely on the advice given, which made him feel vulnerable. He asked Dr. Jim Zingale to come in from the Department of Revenue and figure out what the problems were and come up with some suggestions on solving the problems. His goal was to find a person to fill the management role at the Department's (HRS) Management Systems that would protect the public's interest and not be taken advantage of by vendors. There are people at the Department (HRS) that give generic advice so that if anything goes wrong they will not lose their jobs. They do not want to be responsible or accountable. The history of the Department (HRS) has been to cover up mistakes, dodge accountability, and avoid making decisions. This has also been the history of the Florida System.

84. Former Secretary of the Department (HRS), Robert Williams stated that when he was Deputy Secretary he was a member of the Florida System Steering Committee. The Committee served

as an advisory body, most of the major decisions were not made by the Committee. The Committee had an ongoing oversight responsibility for the Florida System Project. Ms. Viann Hardy was Deputy Secretary of Management Systems during the Florida System Project. Ms. Judy Mitchell was the Project Manager. The Committee relied heavily, if not exclusively, on the information provided by Ms. Hardy and Ms. Mitchell. Early on in the Project the Steering Committee became aware of problems between the contractor and Management Systems. EDS would make commitments to the Steering Committee and then they would not live up to them. At various points in the process the Steering Committee felt that Ms. Hardy and Ms. Mitchell were not competent to handle the Project. Early on Mr. Williams along with Mr. Don Winstead, Ms. Lucy Hadi and Ms. Cheleene Schembera went to Ms. Viann Hardy and suggested that Ms. Judy Mitchell be replaced by a professional Project Manager. A number of Steering Committee members did not have confidence in Ms. Mitchell's ability to carry out her duties. The Committee didn't have confidence in the vendor's commitment to deliver according to the contract. There was a feeling among the Steering Committee that Ms. Hardy and Ms. Mitchell were not forthcoming with information the Committee needed to function in their role. Mr. Williams did not know why Secretary Coler did not remove Ms. Hardy and Ms. Mitchell. He and others recommended to Secretary Greg Coler that the Project be slowed down. Because of time constraints too many compromises were made.

85. Mr. Robert Williams became Secretary of the Department (HRS) in 1991. He and his staff reviewed the performance of the key staff of the Florida System Project and did not remove Ms. Viann Hardy. They felt that the Project was in the middle of completion and the relationship with the federal agencies would be affected. As he got more into the Florida System Project he became more aware that Ms. Viann Hardy and Ms. Judy Mitchell were not truthful about what was going on with the Florida System Project. In April 1991, Secretary Williams was confronted by the issue of slowing down regarding moving from Pilot Office to Pilot District. There was a push for the Department (HRS) to test and accept the System. The System was not functionable. The Department (HRS) did not want to accept something that wasn't functioning properly. However, implementation was pursued because they thought they could work the problems out by the end of the Pilot Programs and also Secretary Williams did not trust EDS because he thought they were trying to get more money by having the process slow down. Also Secretary Williams was concerned about the COBRA date because Ms. Viann Hardy was telling him that the date had to be met or they would lose federal funding. This was not true because there have been extensions granted up to the present time. Also Ms. Viann Hardy and Ms. Judy Mitchell told Secretary Williams that once the Department (HRS) took over the System all the problems could be worked out. When the System crashed in June of 1992, it became clear to him that Ms. Hardy and Ms. Mitchell had not been truthful.

86. Around June 17, 1992, Secretary Williams called the Steering Committee together with new contractors who were technical experts. He asked a number of questions and Ms. Viann Hardy and Ms. Judy Mitchell gave their usual answers he heard in the past. Ms. Hardy contended that there were no capacity problems and others present said there were. As he asked questions Ms. Viann Hardy kept interrupting and tried to steer the meeting away from the answers that were given that were contrary to what she had stated. The problems to be solved were not as easy to solve as Ms. Hardy had said they would be. Ms. Hardy made attempts to control the information he was receiving. After the meeting he met with Ms. Hardy and she subsequently resigned.

87. After meeting with the State Attorney personnel in November of 1992, Secretary Williams researched the TASKS and Deliverables and concluded that there were some that were paid for and they were not completed. It was the job of Ms. Judy Mitchell and Viann Hardy to approve TASKS and Deliverables.

88. Secretary Williams terminated Mr. Tom Johnson because he determined, based on an inquiry conducted by his staff, that (1) Mr. Johnson was biased toward IBM and (2) that Mr. Johnson threatened members of the MID-RANGE Evaluation Team and influenced them to vote for IBM.

89. Secretary Williams admitted that he made a mistake when he didn't advise the Governor early on about the Medicaid situation, but he was trying to get accurate figures. When he

went to the Governor's Office and spoke with Mr. David Coburn, Mr. Coburn told him to go back and check the accuracy of the figures. Also Mr. Coburn told him to withhold the information until after the Legislature voted.

90. Mr. Williams stated that when the Florida System started, it was the general feeling that Secretary Greg Coler wanted the Project completed in time for the Governor's reelection bid.

91. On May 12, 1993, a package prepared by Mr. Joe Duggar of the Department (HRS) was presented to ITRPAC. This package dealt with swapping out old IBM DASD to EMC DASD at no cost to the State of Florida. Prior to presenting the package to ITRPAC, Mr. Duggar called IRC and spoke with an IRC staff member who told him that they could present it to ITRPAC as a sole source. This is what he did. Mr. Dozier Johnson was ready to allow a contingent approval. Dr. Zingale asked that they wait until a letter was received from EDS authorizing the swap because EDS had ownership rights on the IBM DASD, so the meeting was reset to May 19, 1993. At the May 19th meeting Mr. Mike Hale announced he could not approve the swap. Mr. Hale was going to provide a list of things that should be checked out before he approved the swap. IBM was given the right to review the Department's (HRS) test results. Also, it was discovered that Hatachi had a product that could compete so the sole source became an issue. It should be noted that IBM extensively lobbied members of ITRPAC and Mr. Tom Herndon, the Governor's Chief of Staff. IBM wanted Mr. Herndon

to get the item taken off the agenda. Mr. Herndon did not intervene. The end result was that the Department (HRS) would have to put out a bid. This could cost the state $300,000 a month if there is eventually a swap because the IBM DASD is losing its value on a daily basis. The Department (HRS) was told to put out bids in the June 9, 1993, ITRPAC meeting.

92. Also at the June 9, 1993, ITRPAC Meeting they discussed the FLITES equipment stored in the warehouse at the Department (HRS). This equipment's value is approximately $900,000. It was financed for a five year period by IBM. WIC needed more equipment. The proposal was whether or not they could use the old FLITES equipment. ITRPAC did not approve the use of the old FLITES equipment, but authorized the purchase of new equipment that could be ordered for approximately $800,000, but would have to sit in the warehouse because the system could not sustain the added terminal connections yet.

93. Mr. Charles Ray of the Department (HRS) put together a new plan regarding network consolidation. This package has been reviewed and testimony reveals that there are a large number of inaccuracies in the written material.

94. Dr. Jim Zingale was asked by the Governor's Chief of Staff to go over to the Department's (HRS) Management Systems and help with the problems in the Data Center. They needed someone to stabilize the division.

95. Dr. Zingale's study of the Florida System revealed the following problems: (1) there was a massive case load on the

Florida System, (2) (a) the field staff were poorly trained and prepared to work in that environment, (b) when the case load started crashing down on them, they had to maintain that case load plus do conversion from the old system to the new system, (c) this produced a lot of errors in the data base, which largely contributed to errors in benefit payments, (3) the way the computer accessed data, (4) there was a problem with actual programming and its functionality, (5) the computer was not tuned and needs reprogramming, and (6) the platform configuration.

96. The way Dr. Zingale approaches purchasing is as follows: (1) is there a need for the activity, (2) is there a business case made for the activity, and (3) is it technologically sound. The Department (HRS) Management Systems did not handle matters that way.

97. Dr. Zingale's approach to identifying and working on solutions of problems regarding Management Systems was to build a complete "needs analysis" of what should be done. He compiled a large book of forms and sent the "needs analysis" forms to everyone involved within Management Systems. He asked for written responses. Once all of the responses were returned and evaluated, then priorities could be set.

98. According to Dr. Zingale upper management must develop an operational plan. There is a lack of planning at Management Systems.

99. Dr. Zingale stated that Management Systems needs a

"sign off" procedure, in this way there will be accountability regarding purchasing made re: (1) technician should review the purchase of equipment to make sure it is technologically sound, (2) a fiscal officer should attest that there is money in the budget and federal funding available if necessary, (3) an attorney needs to be added to the staff to review the legality of contracts, and (4) the Information Resource Manager should review the package and forward it to the Secretary for review and signature. It will then be sent to ITRPAC.

100. Ms. Viann Hardy's version of the important events of the Florida System is as follows: When Ms. Hardy joined the Management Systems, Florida had been working for approximately ten years on trying to implement an automated system to take care of Child Support and AFDC. Florida's big problem was obtaining Federal funding. Ms. Hardy's primary responsibility was to come up with a fully integrated system to make available to clients all necessary services in a "one-stop" setting. The Department (HRS) decided to have one prime contractor that could be held accountable for everything. The contractor was to design the system, provide the hardware, software and operate the system. EDS became the prime contractor. There were about 18 TASKS that had to be done by the contractor before the project was completed. There were several distinct deliverables within each TASK. A sign off process was established wherein certain individuals were assigned authorizing approval of the various deliverables. The Steering Committee had staff reviewing the

various tasks and deliverables and thus were kept informed of what was going on during the development of the project. The Steering Committee met regularly to go over the status of the Florida System Project. This Committee was extensively involved throughout the entire development of the Project. There was a Legislative Oversight Committee set up to monitor the Florida System. Various work groups identified problems that needed to be solved. These problems were numbered in sequence and brought to the attention of the Managment Review Committee and the Steering Committee. She met with Work Groups, Management Groups and EDS regarding status of deliverables, tasks and problems. She approved and signed reports to the Federal Government submitted to her by Donna Dye and Judy Mitchell. The Florida System was a struggle from the beginning. There were continuous response time problems and capacity problems. The problems could be fixed today. EDS should be forced to fix the problems pursuant to the Warranty Claim filed by the Department (HRS). The Department should sue EDS for specific performance of the contract.

101. Governor Lawton Chiles appeared to be knowledgeable of the Florida System and its basic problems. He has been briefed about the Florida System by several sources. The Governor was of the opinion that the Information Resource Commission (IRC) needs to be staffed with personnel that are capable of keeping up with the "cutting edge of computer technology". According to Governor Chiles, the Information Resource Procurement Advisory Council

(ITRPAC) was overwhelmed by the FLORIDA System Project. The Governor recommended that the State avoid systems similar to the FLORIDA System in the future. Regarding David Coburn, the Governor did not terminate Mr. Coburn from his staff because the Legislative Leaders stated that Mr. Coburn did not lose credibility, he made an error in judgement.

102. Information received to date indicates that nothing has changed and it is business as usual.

FINDINGS

In addition to the factual findings as previously stated in this Presentment, the Grand Jury makes the following special findings based upon our investigation into the matter, facts accumulated, sworn testimony of material witnesses, and evidence presented:

1. Former Secretary Greg Coler placed the Florida System Project on a "fast track" for political reasons so the Project could be completed as Governor Robert Martinez made his re-election bid. Departmental policies and procedures were ignored and private attorneys were hired and thus the Department's (HRS) legal staff was bypassed. All checks and balances were ignored. No other contract was handled in this manner. This was wrong and improper.

2. Ms. Viann Hardy, former Deputy Secretary of Management Systems (HRS), while in charge of the Florida System Project:

(a) Ignored the Department's (HRS) procedures and

policies pertaining to procurements needed in the Project. She violated procurement laws, rules and regulations.

(b) Ignored comments from staff members, consultants, contractors, technicians, and supervisors regarding the mounting problems of the Project.

(c) Knowingly directed the placing of false information in reports and signed documents containing false information that went to federal agencies who monitored the Project.

(d) Knowingly misled the Steering Committee as to the progress of the Florida System Project, leading the Committee to believe that there were few problems identified which could be fixed without much effort.

(e) Knowingly misled the Steering Committee, Secretary Williams and ITRPAC regarding the fact that the Florida System had to move on and not slow down, because if the COBRA date was not met, the Federal Government would cut off funding. She also stated that there could be no extensions. This was not true because there have been some extensions to date. She ignored all requests from staff, contractors and technicians to slow down.

(f) Was responsible for an atmosphere of intimidation and retaliation that existed at Management Systems that prohibited individuals from freely voicing their concerns and criticisms concerning the Florida System Project.

(g) Allowed IBM to gain an advantage on the Florida

System and other projects to the detriment of other vendors, allowing millions of dollars to be made on contracts and sole sources by IBM. Many times her actions were arbitrary and designed to subvert the bid process.

Ms. Hardy's conduct in this matter can only be considered as illegal, improper, and wrongful and has contributed significantly toward costing the State of Florida over 100 million dollars, thus far, in one of the biggest fiascoes in the history of the State.

3. Mr. Tom Johnson, Assistant Deputy Secretary to Ms. Viann Hardy at Management Systems (HRS):

(a) Was supported by IBM in gaining his job at Management Systems (HRS) and clearly stated to staff at Management Systems that he wanted only IBM hardware.

(b) Was biased toward IBM. This was clearly demonstrated in all procurements dealing with the Florida System Project and other projects. He would not listen to staff members and technicians regarding comparing IBM products with other vendor products even when the products of other vendors were equal or better and cheaper. He only wanted new IBM hardware and products and many times turned down used hardware, etc., which could have saved Florida taxpayers considerable money.

(c) Influenced a member of the Evaluation Team to change her vote for EDS and IBM. His conduct during the Florida System Project evaluation process influencing Ms.

Karen Girard can only be considered as wrongful and unethical. Also a hearing officer ruled that he was biased toward IBM and had irregularities in his scores.

(d) Ignored the Department's (HRS) procedures and policies regarding procurements and flagrantly violated procurement laws, rules and regulations.

(e) Ignored comments from staff members, consultants, contractors, technicians, and supervisors regarding the problems of the Florida System.

(f) Was responsible for an atmosphere of intimidation and retaliation that existed at Management Systems, that prohibited individuals from freely voicing their concerns and criticisms concerning the Florida System.

(g) Allowed IBM to gain an advantage on the Florida System and other projects to the detriment of other vendors, allowing millions of dollars to be made on contracts and sole sources by IBM. IBM sales representatives were housed at HRS Management Systems.

(h) Displayed conduct during the evaluation process of the MID-RANGE STRATEGY which amounted to intimidation to influence the evaluators to vote for IBM or lose their jobs.

(i) Demonstrated acts of disloyalty to his employer, the State of Florida, by leaking information to STORAGE TEK and the TAPE CARTRIDGE episode. He was prepared to testify as an expert witness against HRS. Such an act was highly unethical.

(j) Displayed conduct regarding the WIC/PI upgrade to the 500 and the CAMBEX episode which clearly showed his bias toward IBM and amounted to unethical and deceitful behavior. He also retaliated against Mr. Duggar and his staff for their efforts to seek used equipment by cutting the budget of that division and cutting his staff.

Mr. Tom Johnson's conduct in this matter can only be considered as unethical, improper and wrongful, costing the State of Florida over 100 million dollars.

4. Ms. Judy Mitchell, the Project Manager of the Florida System:

(a) Was not competent to run a project of the magnitude of the Florida System.

(b) Ignored the Department's (HRS) procedures and policies pertaining to procurements and violated procurement laws, rules and regulations.

(c) Ignored comments from staff members, consultants, contractors, technicians, and supervisors regarding the problems occurring on the Florida System.

(d) Knowingly caused to be prepared and signed false documentation that was submitted to the Comptroller of the State of Florida authorizing that payments be made regarding the Florida System. The Comptroller relied on these representations in the documentation and paid the contractor, EDS.

(e) Knowingly misled the Steering committee as to the progress of the Florida System.

(f) Was responsible for an atmosphere of intimidation and retaliation that existed at Management Systems that prohibited individuals from freely voicing their concerns and criticisms concerning the Florida System.

Ms. Mitchell's conduct in this matter can only be considered as illegal, improper and wrongful, costing the State of Florida over 100 million dollars.

5. Ms. Lou Gettis, Assistant Project Manager of the Florida System:

(a) Ignored the Department's (HRS) procedures and policies pertaining to procurements and violated procurement laws, rules and regulations.

(b) Ignored comments from staff members, consultants, contractors, technicians, and supervisors regarding the problems of the Florida System. Many described her as extremely rude and unprofessional.

(c) Knowingly misled the Steering Committee as to the progress of the Florida System.

(d) Was responsible for an atmosphere of intimidation and retaliation that existed at Management Systems that prohibited individuals from freely voicing their concerns and criticisms concerning the Florida System.

(e) Demonstrated conduct during the Florida System Evaluation process in approaching Ms. Karen Girard which was wrongful, unethical, and was instrumental in influencing Ms. Girard in changing her vote to EDS and IBM. A hearing

officer ruled that she was biased toward IBM and had irregularities in her scores.

Ms. Gettis' conduct in this matter can only be considered improper, wrongful, unethical, unprofessional and rude.

6. Ms. Marilyn VanDusseldorp, a Manager/Director of Management Systems:

(a) Displayed conduct during the WANG Protest which was unethical and unprofessional, knowing that she should not have had any type of contact with a vendor involved in a bid process.

(b) As the Executive Sponsor of the MID-RANGE STRATEGY evaluation process, allowed Mr. Tom Johnson to come in and intimidate evaluators, thus contaminating the process. She failed to report the matter to the Secretary, which amounted to an extreme breach of her responsibility to the Department (HRS). She changed procedures after D.E.C. won by one point by treating the process as an RFI, and then devising a cost sheet of questionable methodology. This action gave IBM the advantage and thus the bid. This conduct was unethical, unprofessional, deceitful, wrong and in violation of regulations governing procurements.

(c) In the WIC/PI upgrade to the 500 and the CAMBEX episode, she assisted in discouraging the purchase of used equipment and wrote a response letter to Mr. John Agliato containing false information about the credibility of CAMBEX. This amounted to unethical, wrong, and deceitful conduct.

(d) Based upon testimony, displayed a management style that generally avoided making decisions that could affect her status and job which prevented her from being held accountable.

Ms. VanDusseldorp's conduct in this matter can only be considered improper, wrongful, unethical, unprofessional, and deceitful.

7. Mr. Don Winstead, former Deputy Secretary of the Department (HRS):

(a) Displayed inappropriate conduct during the Florida System evaluation process by seeking to unduly influence a member of the Evaluation Team, Ms. Martha Crabb. This behavior was unethical, unprofessional, wrong, and improper in that it caused Ms. Crabb great concern when she was in the process of voting for the vendor who would handle the Florida System. He misused his position and his intentions were to influence Ms. Crabb in her vote.

(b) Signed reports containing false information that went to the State Legislature (House and Senate), the Governor's Office, and the IRC. However, presently there is insufficient evidence of intentional wrong doing.

(c) Approved the automatic recertification of Food Stamp recipients which cost the State of Florida taxpayers several million dollars because of the large number of ineligible people that were recertified.

Mr. Winstead's conduct in this matter can only be considered as unethical, improper, wrong and negligent.

8. Mr. Tom Arnold, former Assistant Secretary of Economic

Services approved of the automatic recertification of Food Stamp recipients which cost the State of Florida several million dollars because of the large number of ineligible people that were recertified. This conduct was improper, wrong and negligent.

9. Ms. Lucy Hadi, former Deputy Secretary of Management Systems in charge of the Florida System displayed conduct in the procurement of the IBM 900 Computer which amounted to a violation of Departmental policies, procedures, procurement rules and regulations, pursuant to Chapter 287, Florida Statutes. The installation of the 900 Computer in August of 1992 and taking the matter before ITRPAC for payment approval in December of 1992 amounted to an After The Fact Approval in violation of Chapter 287, Florida Statutes. Her letter authorizing the placement of the 900 Computer and promising payment amounted to a contract which should have been reviewed by ITRPAC. The latter also was in violation of Chapter 287, Florida Statutes. This conduct can only be considered improper and wrong.

10. Mr. Mike Hale, Executive Director of the Information Resource Commission (IRC):

(a) As a member of ITRPAC, failed to perform his duties regarding Management Systems (HRS) by not closely scrutinizing each and every procurement of the Florida System and other projects. Because the Department (HRS) had a good track record he felt it earned the confidence of ITRPAC and ITRPAC took the Department's (HRS) word on procurements until problems surfaced.

(b) Failed to check to see if the technology of the Systems proposed by the Department (HRS) were sound. For example, he and his staff completely ignored the 720/600 IRLM hook up. They did not research this IRLM hook up to test whether or not it was sound and reliable. If they had he would have found out that the IRLM would not work on the 720/600. He just accepted what was stated by the Department's (HRS) staff.

(c) Eventually became aware of the problems the Florida System was having and failed to take the matter to the Governor, the Cabinet or the Legislature. Instead he aided HRS Management Systems in covering up the mess.

(d) Had an employee, Ms. Carol Pettyjohn, stationed at HRS Management Systems and failed to efficiently utilize her services to be fully informed of what was going on in the Florida System.

(e) Acknowledged that the 900 Computer purchased by HRS Management Systems was an After The Fact Approval in violation of Chapter 287, Florida Statutes.

Mr. Hale's conduct can only be characterized as gross neglect and non-performance.

11. Mr. Dozier Johnson of the Department of Management Services:

(a) Admitted that his duties on ITRPAC are part-time and that ITRPAC takes at face value what an agency says.

(b) Admitted that the purchase of the 900 Computer by

HRS was an After The Fact Approval in violation of Chapter 287, Florida Statutes. He voted against it.

12. Ms. Carol Pettyjohn former IRC employee:

(a) Failed in her duties to monitor the Florida System and fully inform the IRC of TASKS and Deliverables not being completed and problems being discussed during meetings at Management Systems.

(b) Got too close to the staff at Management Systems and became wedded to the Department (HRS), the Florida System, thus losing her objectivity.

(c) Left IRC and was subsequently hired by HRS in an OPS position, at a salary approximately 106% higher than her previous income.

Ms. Pettyjohn's conduct can only be characterized as gross neglect and non-performance.

13. Mr. David Coburn, Director of Planning and Budget for the Governor's Office, regarding the Medicaid problem, neglected his duty to the Governor, Legislature and the citizens of the State of Florida by suppressing reports indicating that there may be problems. Mr. Coburn's conduct reflected extremely poor judgement.

14. Mr. Robert Williams, former Secretary of the Florida Department of Health and Rehabilitative Services:

(a) Continuously signed reports containing false information that went to the State Legislature, the Governor's Office and the IRC. However, presently there is insufficient evidence of intentional wrong doing.

(b) Was an extremely weak Secretary in that he allowed himself to be manipulated in continuing to move forward with the Florida Project when those who were competent and knowledgable were pushing to slow down the Project. He claimed to have listened to people he strongly suspected were not telling him the truth, when in fact he supported slowing down the Project as a Steering Committee member but insisted on adhering to the twenty-nine month schedule upon becoming the Secretary. The fact that the Department (HRS) is a large agency is no excuse. The Florida System is the biggest Data Center in the State, one of the largest in the country, and should have been treated as a higher priority.

(c) Was deliberately indifferent in failing to be fully informed and maintain a tight rein on matters. He was negligent in fullfilling his responsibilities as Secretary of the Department.

(d) Procrastinated on firing Viann Hardy, Judy Mitchell, Tom Johnson and Lou Gettis. This should have been done immediately upon assumming the responsibilities of the Secretary.

(e) Neglected his duty regarding the Medicaid problem to the Governor, the Legislature and the State of Florida. He should have ignored David Coburn's advice to suppress the information and used his direct access to inform the Governor of the circumstances.

Mr. Williams' conduct in this matter can only be characterized as incompetent, improper, wrongful, negligent, and deceptive.

RECOMMENDATIONS

1. Chapter 287, Florida Statutes should be amended by the Legislature to include criminal or civil sanctions which will be strictly enforced when violations occur regarding procurements of the nature discussed in this Presentment. After the fact purchases should be handled as a criminal or civil violation.

2. A full-time neutral authoritative body should be designated to monitor major projects concerning large Data Centers such as the Florida System.

3. Said authoritative body should establish an operational plan that will set out strict policies and procedures to govern the contracting for the establishment and implementation of a Data Center and the contracting for and acquisition of computer hardware and software. This body should be comprised of the following:

(a) Two persons with expert technical skills.

(b) Two fiscal officers, one from the Governor's Office and one from the Legislature.

(c) And one attorney.

4. The Department's (HRS), Management Systems needs a leader that has expertise in computers, contract management and personnel management. This leader must be one who will accept responsibility and be accountable for his or her actions. Signatures should be required at all levels to attest to the validity of the purchase documentation.

5. Policies and procedures should be set up prohibiting

vendor bias and administrative penalties should be imposed on those who violate the policy and procedures.

6. Politics has no place in the operation of the Department (HRS) and Management Systems.

7. The hiring of private attorneys by Management System should be prohibited. In doing this the State of Florida can save millions of dollars.

8. Steering Committees should be set up to monitor projects and should set up strict guidelines as to how matters should be handled. Committee members should become fully informed of all aspects of the project demanding full disclosure. Staff members should be allowed and encouraged to voice their concerns, criticisms and recommendations without the fear of intimidation and retaliation. Specific Task and Deliverable coordinators should be set up and held strictly accountable for any Tasks or Deliverables approved that are not complete.

9. A bid evaluation system should be established that not only provides for impartial review of bids received, but also contains sanctions against those who exhibit bias or favoritism and to outsiders who attempt to influence evaluators. There should be criminal and civil penalties imposed for egregious behavior.

10. The Department's (HRS), Management Systems should review the need for having all the consultants and contractors presently working on the FLORIDA System. Large sums of money have already been spent and nothing has been done to correct the

problems of the Florida System. Presently the Florida System is not functional. There are staff at Management Systems that can do the technical work.

11. The Information Resource Commission (IRC) needs to be staffed with highly technical people who will aggressively review whether or not computer hardware and software are technically sound. The IRC should prohibit vendors to individually lobby the members of the IRC. If the IRC needs information they should be the one who initiate contact.

12. The Information Technology Resource Procurement Advisory Council (ITRPAC) should aggressively review matters brought to them for approval. No state agency should be taken at face value when seeking approval from ITRPAC. Also, ITRPAC should prohibit the lobbying of their members by vendors; all this does is foster corruption. If ITRPAC needs information from a vendor they should make the request and review the information under a controlled environment.

13. If ITRPAC or the IRC notes any irregularities about an agency's procurement process or the handling of a Data Center Project, they should immediately review the matter with the Agency Head or the Cabinet, Governor or Legislature if necessary.

14. Directors and supervisors under the Head of Management Systems should aggressively manage, supervise, give advice and be willing to take responsibility and be willing to be held accountable for their actions. Passing the buck and giving generic advice should not be tolerated.

15. The Department's Management Systems should demand of vendors that contracts be specifically performed according to the terms and conditions of the contract. Contracts should not be manipulated.

16. That consideration be given by the HRS Secretary toward utilizing technical expertise currently available in the Department to improve the functionality of the System.

17. Former Secretary Greg Coler acted in an incompetent manner by treating the implementation of the FLORIDA System as a political issue. His actions proved to be extremely costly to the Department when he hired expensive, private legal counsel, bypassed established checks and balances, and directed the contract to be handled in a unique and improper manner. It is the recommendation of the Grand Jury that Mr. Coler's present and future business dealings with the State of Florida be closely scrutinized.

18. Mr. Tom Johnson, former Aid to Ms. Viann Hardy at Management Systems, acted in an unethical, intimidating, and corrosive manner. His actions in the procurement of computer hardware reflected bias toward one vendor. His present and future business dealings should be scrutinized with the State of Florida.

19. Highly suggest that the annual evaluations of Senior Management and Select Exempt employees, such as Mr. Williams, be designed to include evaluative feedback from subordinates as well as supervisors, as is the case in other professions. This would

facilitate such things as incompetence, deliberate indifference, and wrong, improper, deceptive and negligent behavior being redressed in a timely manner. Would suggest Mr. Williams' present and future dealings as an agent of the State be closely scrutinized.

20. Would suggest Mr. Winstead's present and future dealings as an agent of the State be closely scrutinized.

21. Based on the facts presented through testimony, we suggest that the HRS Secretary re-evaluate the fitness of the following employees to continue in their present positions: Marilyn VanDusseldorp, Carol Pettyjohn, and John Holland.

22. In order to restore public confidence and to improve management's accountability to the citizens of Florida, the Legislature should pursue establishing and implementing a strong Code of Ethics for all upper management and select exempt employees.

23. As regards the improper approval of expending large sums of money, we recommend the following procedure:

1. (a) An official statement of policy shall be adopted wherein responsibility for all expenditures equal to or greater than $100,000 shall be assigned to specific select exempt or senior management personnel;

(b) In accordance with other recommendations within this presentment, said personnel shall have this responsibility specified within an official job description;

(c) The responsibility, as specified in the job description, shall carry an authority equivalent to the level of responsibility assigned;

2. (a) Any additional acquisitions that pertain to this procurement should be submitted to the authoritative body and then forwarded to ITRPAC.

(b) No additional purchases can be made for the same project without subsequent approval by ITRPAC;

(c) Violation of the trust assigned will result in prosecution of the individual in accordance with Chapter 287 of the Florida Statutes.

24. Recommend writers of sole source documents be required to sign and attest to the validity of said documents. Further recommend that members of the neutral body review and certify, or refuse to certify, the validity of the documents by likewise being required to sign and attest to the accuracy of the documents. Request ITRPAC be required to sign and attest to their review and certification of said documents. Suggest there be civil and/or criminal penalties for signing false sole source documents.

25. As pointed out in testimony, millions of taxpayer dollars were paid in duplicate warrants as a result of automatic recertification of recipient households. To date there has been no remedy to the problem of duplicate personal identification numbers (P.I.N.'s) resulting in double payments.

A. We recommend a policy be adopted to expeditiously forbid further authorization of automatic recertification.

B. Additionally, we recommend an accelerated effort to identify duplicate P.I.N.'s and curtail unwarranted receipt of financial benefits.

26. The Grand Jury requests that the State Attorney's Office pursue any other action appropriate under the laws of the State of Florida to include Chapter 112 and explore other actions available under applicable federal law.

CONCLUSION

The Grand Jury sincerely hopes that this Presentment and the recommendations contained herein will not be received with rancor or hostility but as an honest effort to inspire official action which will avoid future costly mistakes and instill public confidence and increased accountability in the operation of our public institutions. The Grand Jury believes that if any good is to come out of this deplorable affair, it can only be through substantial changes in the attitudes and performance of public officials and the laws and rules that control their power, authority, and responsibility. The Grand Jury commends those HRS employees who courageously disclosed the mismanagement of the FLORIDA System despite the coercive managerial environment that prevailed.

WHEREFORE, this Grand Jury says nothing further in these premises. Respectfully submitted to the Court this 18th day of August, 1993.

LEON COUNTY GRAND JURY

John E. Lawrence
FOREMAN

ATTEST: Sondra Boucher Frazier
Vice Foreperson

CERTIFICATION

This is to certify that the undersigned, as authorized and required by law, have advised the Grand Jury in returning this Presentment.

ANTHONY S. GUARISCO, JR.
Deputy State Attorney

DENNIS VALENTE
Assistant State Attorney

Presented in open Court by the Grand Jury and filed this 18th day of August, 1993.

DAVE LANG
CLERK OF THE CIRCUIT COURT

by _____
Deputy Clerk